

SECURITIES, BONDS, EQUITY, DERIVATIVES AND INVESTMENT FUNDS

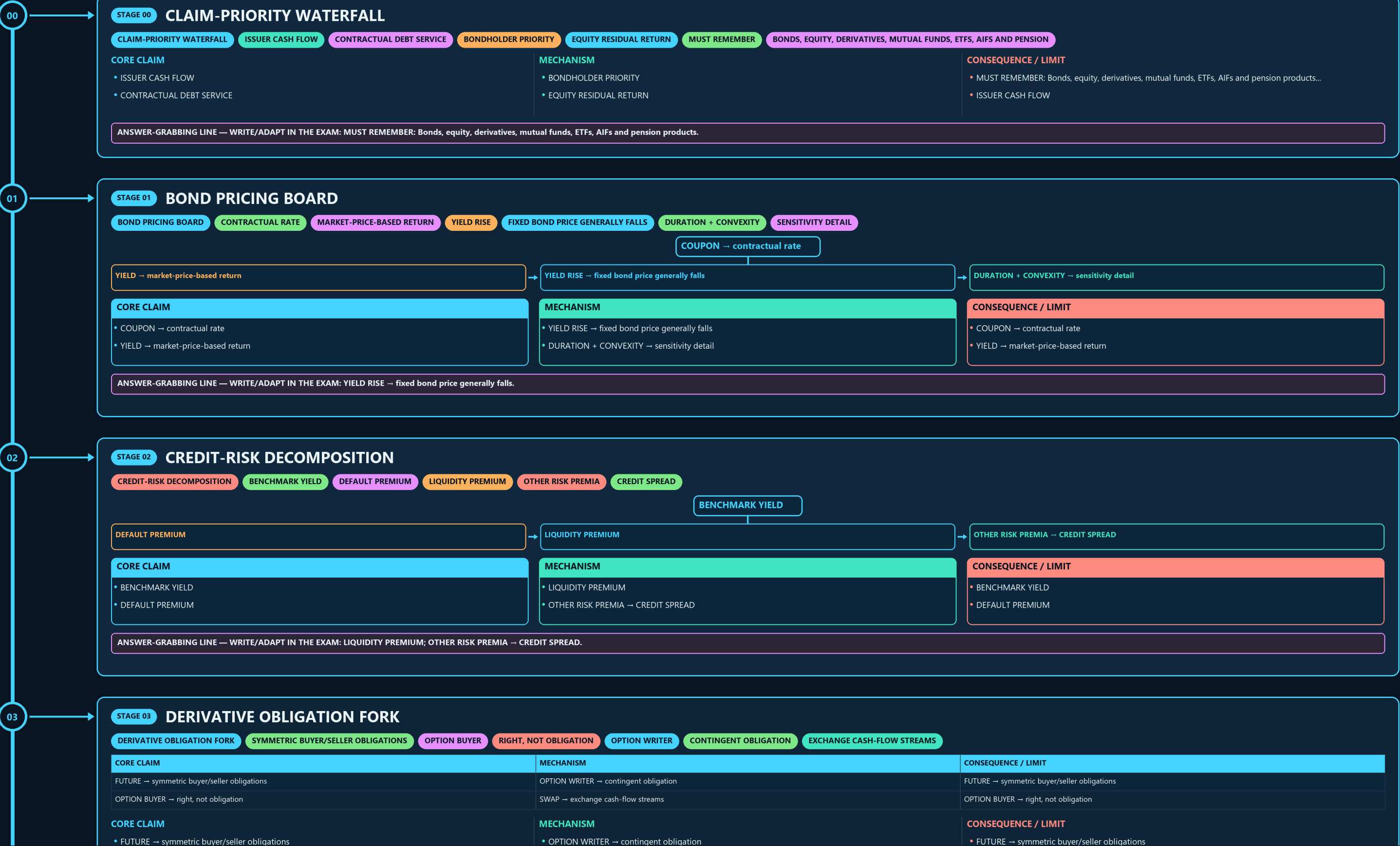
CLAIM-PRIORITY WATERFALL → BOND PRICING BOARD → CREDIT-RISK DECOMPOSITION → DERIVATIVE OBLIGATION FORK → PURPOSE TEST → CLEARING AND LEVERAGE RAIL

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIQUIDITY PREMIUM; OTHER RISK PREMIA → CREDIT SPREAD.

03

STAGE 03 DERIVATIVE OBLIGATION FORK

DERIVATIVE OBLIGATION FORK

SYMMETRIC BUYER/SELLER OBLIGATIONS

OPTION BUYER

RIGHT, NOT OBLIGATION

OPTION WRITER

CONTINGENT OBLIGATION

EXCHANGE CASH-FLOW STREAMS

CORE CLAIM

FUTURE → symmetric buyer/seller obligations

OPTION BUYER → right, not obligation

CORE CLAIM

• FUTURE → symmetric buyer/seller obligations

• OPTION BUYER → right, not obligation

MECHANISM

OPTION WRITER → contingent obligation

SWAP → exchange cash-flow streams

MECHANISM

• OPTION WRITER → contingent obligation

• SWAP → exchange cash-flow streams

CONSEQUENCE / LIMIT

FUTURE → symmetric buyer/seller obligations

OPTION BUYER → right, not obligation

CONSEQUENCE / LIMIT

• FUTURE → symmetric buyer/seller obligations

• OPTION BUYER → right, not obligation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OPTION WRITER → contingent obligation; SWAP → exchange cash-flow streams.

04

STAGE 04 PURPOSE TEST

PURPOSE TEST

PRE-EXISTING EXPOSURE?

HEDGE SIZE AND TENOR

SPECULATIVE EXPOSURE

SAME CONTRACT CAN REDUCE OR ENLARGE RISK

PRE-EXISTING EXPOSURE?

YES → hedge size and tenor

NO → speculative exposure

SAME CONTRACT can reduce or enlarge risk

CORE CLAIM

• PRE-EXISTING EXPOSURE?

• YES → hedge size and tenor

MECHANISM

• NO → speculative exposure

• SAME CONTRACT can reduce or enlarge risk

CONSEQUENCE / LIMIT

• PRE-EXISTING EXPOSURE?

• YES → hedge size and tenor

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NO → speculative exposure; SAME CONTRACT can reduce or enlarge risk.

05

STAGE 05 CLEARING AND LEVERAGE RAIL

CLEARING AND LEVERAGE RAIL

MARGIN + MARK-TO-MARKET

CLEARING CORPORATION

BASIS, LIQUIDITY AND LEVERAGE RISK

MARGIN + MARK-TO-MARKET

CLEARING CORPORATION

RESIDUAL → basis, liquidity and leverage risk

CORE CLAIM

• MARGIN + MARK-TO-MARKET

• CLEARING CORPORATION

MECHANISM

• RESIDUAL → basis, liquidity and leverage risk

• MARGIN + MARK-TO-MARKET

CONSEQUENCE / LIMIT

• CLEARING CORPORATION

• RESIDUAL → basis, liquidity and leverage risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLEARING CORPORATION; RESIDUAL → basis, liquidity and leverage risk.

06

STAGE 06 POOLED-VEHICLE MAP

POOLED-VEHICLE MAP

MUTUAL FUND

POOLED MANDATE + NAV

EXCHANGE-TRADED FUND UNIT

PRIVATELY POOLED CATEGORY FRAMEWORK

INFRASTRUCTURE CASH FLOWS

CORE CLAIM

MUTUAL FUND → pooled mandate + NAV

ETF → exchange-traded fund unit

MECHANISM

AIF → privately pooled category framework

REIT / InvIT → property / infrastructure cash flows

CONSEQUENCE / LIMIT

MUTUAL FUND → pooled mandate + NAV

ETF → exchange-traded fund unit

CORE CLAIM

• MUTUAL FUND → pooled mandate + NAV

• ETF → exchange-traded fund unit

MECHANISM

• AIF → privately pooled category framework

• REIT / InvIT → property / infrastructure cash flows

CONSEQUENCE / LIMIT

• MUTUAL FUND → pooled mandate + NAV

• ETF → exchange-traded fund unit

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REIT / InvIT → property / infrastructure cash flows

06

STAGE 06 POOLED-VEHICLE MAP

POOLED-VEHICLE MAP MUTUAL FUND POOLED MANDATE + NAV EXCHANGE-TRADED FUND UNIT PRIVATELY POOLED CATEGORY FRAMEWORK INFRASTRUCTURE CASH FLOWS

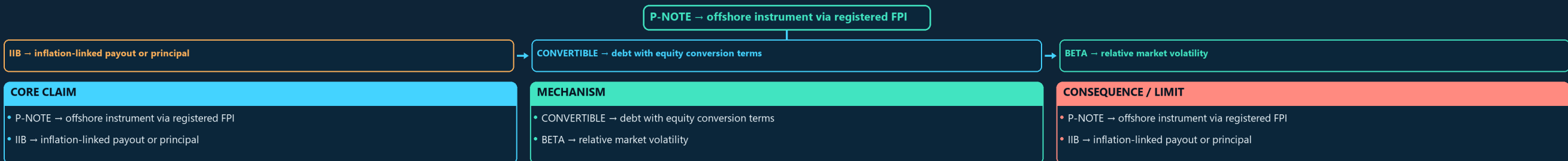
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MUTUAL FUND → pooled mandate + NAV	AIF → privately pooled category framework	MUTUAL FUND → pooled mandate + NAV
ETF → exchange-traded fund unit	REIT / InvIT → property / infrastructure cash flows	ETF → exchange-traded fund unit
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
- MUTUAL FUND → pooled mandate + NAV - ETF → exchange-traded fund unit	- AIF → privately pooled category framework - REIT / InvIT → property / infrastructure cash flows	- MUTUAL FUND → pooled mandate + NAV - ETF → exchange-traded fund unit

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REIT / InvIT → property / infrastructure cash flows.

07

STAGE 07 ACCESS INSTRUMENTS BOARD

ACCESS INSTRUMENTS BOARD OFFSHORE INSTRUMENT VIA REGISTERED FPI INFLATION-LINKED PAYOUT OR PRINCIPAL DEBT WITH EQUITY CONVERSION TERMS RELATIVE MARKET VOLATILITY

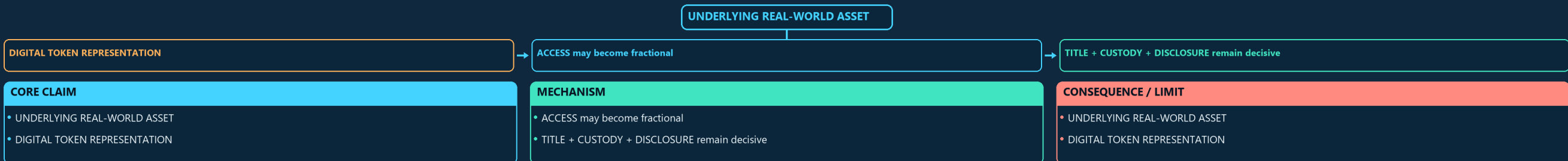


ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONVERTIBLE → debt with equity conversion terms; BETA → relative market volatility.

08

STAGE 08 TOKENISATION BOUNDARY

TOKENISATION BOUNDARY UNDERLYING REAL-WORLD ASSET DIGITAL TOKEN REPRESENTATION ACCESS MAY BECOME FRACTIONAL TITLE + CUSTODY + DISCLOSURE REMAIN DECISIVE

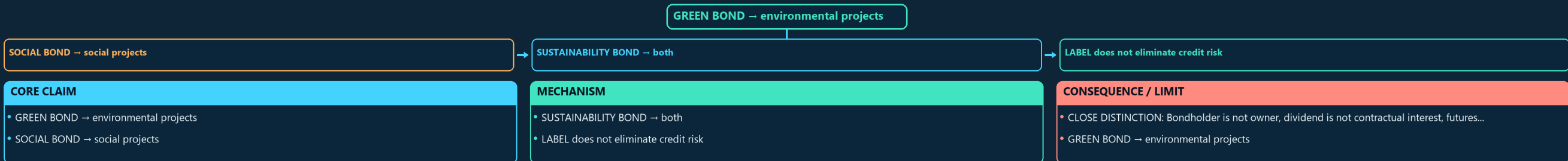


ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCESS may become fractional; TITLE + CUSTODY + DISCLOSURE remain decisive.

09

STAGE 09 USE-OF-PROCEEDS TAXONOMY

USE-OF-PROCEEDS TAXONOMY GREEN BOND ENVIRONMENTAL PROJECTS SOCIAL BOND SOCIAL PROJECTS SUSTAINABILITY BOND LABEL DOES NOT ELIMINATE CREDIT RISK CLOSE DISTINCTION



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures.

09

STAGE 09 USE-OF-PROCEEDS TAXONOMY

USE-OF-PROCEEDS TAXONOMY GREEN BOND ENVIRONMENTAL PROJECTS SOCIAL BOND SOCIAL PROJECTS SUSTAINABILITY BOND LABEL DOES NOT ELIMINATE CREDIT RISK CLOSE DISTINCTION

GREEN BOND → environmental projects

SOCIAL BOND → social projects

SUSTAINABILITY BOND → both

LABEL does not eliminate credit risk

CORE CLAIM

- GREEN BOND → environmental projects
- SOCIAL BOND → social projects

MECHANISM

- SUSTAINABILITY BOND → both
- LABEL does not eliminate credit risk

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures...
- GREEN BOND → environmental projects

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bondholder is not owner, dividend is not contractual interest, futures.

10

STAGE 10 INVESTOR-PROTECTION STACK

INVESTOR-PROTECTION STACK DISCLOSURE + PRODUCT LABELLING REGISTERED ADVISERS + INTERMEDIARIES MARGIN + SETTLEMENT + GRIEVANCE BUSINESS AND MARKET LOSS REMAIN EVIDENCE LIMIT IDENTIFY LEGAL CLAIM, PAYOFF

DISCLOSURE + PRODUCT LABELLING

REGISTERED ADVISERS + INTERMEDIARIES

MARGIN + SETTLEMENT + GRIEVANCE

LIMIT → business and market loss remain

CORE CLAIM

- DISCLOSURE + PRODUCT LABELLING
- REGISTERED ADVISERS + INTERMEDIARIES

MECHANISM

- MARGIN + SETTLEMENT + GRIEVANCE
- LIMIT → business and market loss remain

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify legal claim, payoff,...
- DISCLOSURE + PRODUCT LABELLING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify legal claim, payoff,.

11

STAGE 11 SECURITIES ANSWER SPINE

SECURITIES ANSWER SPINE CLASSIFY CLAIM AND CASH-FLOW PRIORITY MAP LIQUIDITY PROMISE AND LEVERAGE TRACE REGULATOR AND SETTLEMENT MATCH INSTRUMENT TO INVESTOR EXPOSURE

CLASSIFY claim and cash-flow priority

MAP liquidity promise and leverage

TRACE regulator and settlement

MATCH instrument to investor exposure

CORE CLAIM

- CLASSIFY claim and cash-flow priority
- MAP liquidity promise and leverage

MECHANISM

- TRACE regulator and settlement
- MATCH instrument to investor exposure

CONSEQUENCE / LIMIT

- CLASSIFY claim and cash-flow priority
- MAP liquidity promise and leverage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE regulator and settlement; MATCH instrument to investor exposure.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT DURATION AND CONVEXITY EXPLAIN BOND-PRICE SENSITIVITY BEYOND THE SIMPLE CREDIT SPREAD COMPENSATES FOR DEFAULT, LIQUIDITY AND RISK-PREMIUM COMPONENTS OPTION VALUE DEPENDS ON THE UNDERLYING, STRIKE, TIME, VOLATILITY

FUND STRUCTURE CHANGES LIQUIDITY TRANSFORMATION OPEN-ENDED REDEMPTION PROMISES CAN INDEX INVESTING REDUCES SECURITY-SELECTION COSTS BUT MAY CONCENTRATE FLOWS TOKENISATION CAN FRACTIONALISE CLAIMS, YET LEGAL TITLE, CUSTODY, SETTLEMENT

OPTIONAL SOURCE DEPTH

- CAUTION: Duration and convexity explain bond-price sensitivity beyond the simple inverse yield
- CAUTION: Credit spread compensates for default, liquidity and risk-premium components over a
- CAUTION: Option value depends on the underlying, strike, time, volatility and rates; leverage
- CAUTION: Fund structure changes liquidity transformation: open-ended redemption promises can

ADVANCED DEBATE

- CAUTION: Index investing reduces security-selection costs but may concentrate flows in index
- CAUTION: Tokenisation can fractionalise claims, yet legal title, custody, settlement finality
- SEBI: regulates listed securities, mutual funds, AIFs, intermediaries and market
- Stock exchanges and clearing corporations: conduct trading, margins, clearing and

LEGACY / NUANCE

- RBI: manages government-securities market architecture and specified interest-rate
- Trustees, custodians and asset-management companies: separate fund assets, oversight
- CAUTION: A fixed-rate bond loses market value when comparable yields rise because its promised
- CAUTION: A call-option buyer has a right, while the writer carries a contingent obligation

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.